high-quality liquid assets (HQLA) that can be converted into cash easily and immediately in private markets to withstand liquidity crisis, if it happens, for a period of 30 days. Here, assets are nothing but the investments made by banks including loans. It has to be implemented from the year 2016 starting with 60 per cent coverage to 100 per cent by 2019.

B. Net Stable Funding Ratio (NSFR)

It is the ratio between required stable funding and available stable funding.

NSFR = Available amount of stable funding/Required amount of stable funding

The words stable funding indicates the maturity and certainty of funds. It should be of long term, stable and certain. Required fund indicates the liabilities and available funds indicate assets. It will require banks to maintain a stable funding profile in relation to the composition of their assets and off-balance sheet activities. It means there should be a match between the nature of funding and nature of assets. It tries to avoid the practice of creating long term assets while getting short term funds. In a situation of mismatch the banks and financial institutions cannot honour the short term fund givers like depositors. As on April 2014, the consultative process in this regard is going on.

Non-Performing Assets (NPA)

A loan or advance is asset of the bank. If its interest or principle or both remain overdue (unpaid) for a reasonable period then it is called Non-performing asset. The reasonable period varies for various types of loans and advances. The reasonable period is determined by RBI.

As per RBI guidelines Non-performing asset (NPA) is a loan or an advance where;